

Diligence Report — CUSIP 357172ZT5

Fremont Union High School District (Santa Clara County, CA) — General Obligation Bonds, Series 2019A 4.00% coupon · due 2038-08-01 · dated 2019-06-06 · tax-exempt Cutoff: 2026-06-20 · Status: in buy book · Verdict: **BUY**

a. Snapshot

Field	Value	Source
Issuer	Fremont Union High School District (FUHSD), Santa Clara County	EMMA OS cover; EMMA Security/Details
Series	General Obligation Bonds, Series 2019A (Election of 2014 + Election of 2018 authorizations)	OS cover
CUSIP	357172ZT5	EMMA Security/Details
Coupon / Maturity / Dated	4.00% / 2038-08-01 / 2019-06-06	EMMA Security/Details + OS
This maturity's par	\$6,035,000 (of \$100,280,000 Series 2019A)	EMMA maturity scale
Pledge	Unlimited ad-valorem GO + SB-222 statutory lien (Govt Code §53515) + Resolution pledge	OS, "Security and Source of Payment"
Tax status	Tax-exempt (federal + CA personal income tax); not an AMT preference item	OS, Orrick opinion; EMMA
Ratings (at issue)	Moody's Aaa / S&P AAA	OS cover
Last trade (tape)	2026-03-26 @ 98.822, YX 4.122% (customer buy)	EMMA RTRS trade tape
Computed YTM @ 98.822	4.124% to maturity; mod. duration 9.35 yr	compute_bond_analytics (validated vs EMMA YX ±0.002)
After-tax TEY	~8.29% (YTM × 2.01 CA top-bracket gross-up)	derived
Call	Callable at par on any date on/after 2027-08-01 (maturities ≥ 2028)	OS, "Optional Redemption"

One-line thesis: A AAA/Aaa unlimited-ad-valorem GO of a *community-funded* (basic-aid) Silicon Valley high-school district sitting on a ~\$75.8B (2018-19) / materially larger today assessed-value base, with direct GO debt at **0.54% of AV**, no taxpayer above 2.3% of the roll, and a SB-222 statutory lien. The "tech-wealth AV" framing is a strength here, not a risk, and Prop-13 stickiness makes the GO levy base structurally resilient to an AI/tech drawdown.

b. Issuer + pledge verification (EMMA Official Statement)

Claim: Unlimited ad-valorem GO with an SB-222 statutory lien, tax-exempt. **How verified:** Pulled the EMMA Security/Details page for 357172ZT5 (disclaimer-gated), bound the CUSIP to EMMA issue **EP379545** = "General Obligation Bonds, Series 2019A," and downloaded the Official Statement PDF (`raw/official_statement.pdf`, 4.3 MB). **Authority:** Official Statement, "Security and Source of Payment for the Bonds" (p. 14). **Finding — VERIFIED.**

- *Unlimited ad-valorem.* "The Board of Supervisors of the County is empowered and is obligated to levy ad valorem taxes upon all property subject to taxation by the District... **without limitation as to rate or amount**" — proceeds deposited in a County-maintained Interest and Sinking Fund "used solely for the payment of the bonds of the District."
- *SB-222 statutory lien.* Confirmed verbatim: Govt Code §53515 (effective 2016) creates an automatic statutory lien on all tax revenues levied/collected, "valid and binding from the time the bonds are executed and delivered," effective without recordation.
- *Additional Resolution pledge* of all property-tax revenues and Interest-and-Sinking-Fund balances, "in addition to any statutory lien."
- *Tax status.* Orrick opinion: interest excluded from federal gross income (§103), not an AMT preference item, exempt from CA personal income tax. EMMA "Tax Status" = Tax-Exempt. **Not a federally-taxable bond** (the taxable-gate signature — odd 3-decimal coupon near par — does not apply; this is a clean 4.000% tax-exempt). VERIFIED.
- *Not a County obligation:* "The Bonds... are not a debt or obligation of the County." Standard for CA school GOs — the County is the levy/collection agent, not the obligor.

This is the cleanest pledge type in the CA muni universe: a voter-approved unlimited-rate ad-valorem levy on a very large, diversified tax base, ring-fenced from operating funds, with a statutory lien.

c. Assessed-value base + taxpayer concentration + the Silicon-Valley / Prop-13 nuance

AV base (OS, 2018-19): District total assessed value **\$75.77B** (\$71.29B local secured + \$4.48B unsecured; utility \$0). AV grew every year shown except a -0.6% blip in 2010-11 (post-GFC), with +6-9.5% prints through the 2010s. *Authority:* OS, "Assessed Valuation of Secured and Unsecured Property."

Current AV (cross-check): Santa Clara County's countywide 2025-26 assessment roll closed at **\$725.7B, +4.15%** — the slowest growth since 2012, but still positive (Santa Clara County Assessor, roll-close 2025-26). FUHSD's own AV today is materially above the 2018-19 \$75.8B baseline; the District remains one of the wealthiest tax bases per pupil in California.

Taxpayer concentration — the key test of the "tech-wealth AV" framing (OS, "Largest Taxpayers"):

Rank	Taxpayer	Use	2018-19 AV	% of secured
1	Google Inc.	Office	\$1.65B	2.32%
2	Apple Computer Inc.	Office	\$1.18B	1.66%

Rank	Taxpayer	Use	2018-19 AV	% of secured
3	Campus Holdings Inc.	Office	\$1.09B	1.52%
4	Lockheed Missiles & Space	Industrial	\$0.89B	1.25%
5	Yahoo Holdings	Office	\$0.66B	0.92%
...	(6-20: Juniper, Applied Materials, Intuitive Surgical, Agilent, etc.)			
	Top-20 combined		\$11.31B	15.86%

Finding — concentration is LOW and the OS says so explicitly: "No single taxpayer owns more than 2.32% of the local secured taxable property." Even the marquee tech names (Apple, Google) are each $\leq 2.3\%$ of the base; the top 20 together are under 16%. The `top_taxpayer_concentration` detector does **not fire** — this is a granular, residential-heavy base in which Apple Park/Google campuses are *additive diversifiers*, not single points of failure.

The second-order tech/AI-crash question (addressed honestly):

The AI-insulation screen (99) is built on the *state* channel: CA's General Fund is $\sim\%$ personal income tax, heavily capital-gains-driven, so a tech/AI crash hits *state* revenue hard (dot-com precedent: -71% capital-gains revenue). School-GO debt service is levied locally on AV and is insulated from that state channel. The legitimate second-order worry the prompt raises is whether a deep tech drawdown could erode the *local AV base itself*, since this base is tech-wealth-driven. Three points, honestly weighed:

- Prop-13 stickiness is the dominant mechanism.** AV resets to market only on **change of ownership or new construction** (Article XIII A). Absent a sale, AV rises at the lesser of CPI or 2%/yr regardless of market value. So a paper decline in Silicon Valley home/office *market* values does **not** mechanically lower the AV roll. The only downward path is a **Prop-8 (1978) temporary "decline-in-value" reduction**, which a property owner must *apply for*, which the assessor grants only when current market value falls **below the property's existing (often deeply-below-market) Prop-13 base**. For long-held tech campuses and homes carrying base years from the 1990s–2010s, market value would have to fall enormous distances to pierce the base — Prop-8 relief is a real but **shallow and self-reversing** ("recapture") channel, not a cliff. The OS documents both the Prop-8 mechanism and the *County of Orange* recapture ruling that lets the assessor restore value faster than 2%/yr once markets recover.
- GO debt service is not AV-level-sensitive in the way operating revenue would be — it is rate-elastic.** The levy is sized each year to cover scheduled debt service; if AV *fell*, the County would simply *raise the unlimited ad-valorem rate* to collect the same dollars (the OS spells this out: a destruction-of-value event "necessitates a corresponding increase in the annual tax rate"). With direct GO debt at **0.54% of AV**, there is enormous headroom — AV could fall by half and the required rate would still be trivial. Bondholder risk from an AV decline is therefore minimal absent mass *delinquency*, not mass *revaluation*.
- This is a community-funded (basic-aid) district** — the strongest insulation fact in the file. FUHSD has been basic-aid "for over 25 years"; in 2018-19 its local property-tax revenue **exceeded its LCFF entitlement by $\sim\$35M$** , so it receives essentially no state apportionment for operations. That means (a) the District's *operating* credit is also insulated from the state cap-gains channel (it lives on local property tax, not Sacramento), and (b) even in a state-budget crisis driven by an AI crash, FUHSD's revenue stream is structurally different from a typical LCFF-dependent district. The AI-insulation screen (99) is, if anything, *understated* for the operating side.

Net: The "tech-wealth AV" characteristic is correctly read as a **positive** for this credit. The honest residual risk is a Prop-8 wave in a severe, *sustained* Bay Area real-estate repricing (a 2008-style event concentrated on recently-transacted, high-base-year tech properties), which could shave the roll a few points and require a modestly higher levy rate — comfortably absorbed at 0.54% direct debt/AV. The commercial-real-estate softness already visible (county roll growth at a 13-year low of 4.15%) is the thing to monitor, not a thesis-breaker.

d. Debt-to-AV + overlapping debt

Authority: OS, "Direct and Overlapping Debt," ratios to 2018-19 AV.

Metric	Amount	% of 2018-19 AV
District direct GO debt (5/1/19)	\$412,210,088	0.54%
Total direct + overlapping tax & assessment debt	\$1,414,731,182	1.87%
Gross combined total debt	\$1,685,147,335	2.22%
Net combined total debt	\$1,633,163,835	2.16%

- Direct GO leverage of 0.54% of AV is exceptionally conservative** — well inside the comfort zone for a CA school GO (many AAA peers run 1–2.5%). The District is 100%-applicable for its own \$412M; the rest of the "overlapping" stack is community-college, county, and city debt shared across a much larger footprint.
- Coincidental-number caution:** the screen's "EQ Ss 1.87" (seismic) and the OS's "1.87% total direct+overlapping debt/AV" are *unrelated* metrics that happen to share the digits — do not conflate.
- Second-order link to (c):* because direct debt/AV is 0.54%, the levy rate needed to service the bonds is tiny, so even a Prop-8-driven AV decline translates into a negligible rate increase for taxpayers — low risk of a tax-revolt / delinquency feedback loop.

e. AB-1200 certification + enrollment (Santa Clara COE)

Claim: AB-1200 POSITIVE. **How verified:** OS certification-history statement + the District's current FY2025-26 Adoption Budget filed on EMMA ([raw/continuing_disclosure_latest.pdf](#), dated 2025-06-17), under the jurisdiction of the **Santa Clara County Superintendent of Schools**. **Finding — VERIFIED / CONSISTENT.**

- OS: "In the last five years, the District has **not** received a negative or qualified certification for an interim financial report." (AB-1200 assigns positive / qualified / negative; FUHSD has stayed positive.)
- The FY2025-26 budget passed the County's criteria-and-standards review; the District's combined ending fund balance is **~\$59.2M** (general fund, unrestricted + restricted), with the unrestricted component ~\$37.8M — healthy reserves for a ~\$165M+ operating district.
- **Enrollment / ADA:** FY2025-26 funded ADA **~9,250**, regular ADA ~8,933 (vs ~11,051 enrollment cited in the 2019 OS — a multi-year decline typical of expensive Bay Area districts as families age out / are priced out). *Honest flag:* the budget's fiscal-indicator screen acknowledges declining enrollment as a watch-item. **But for a community-funded district this is far less of a credit concern** than for an LCFF district, because revenue tracks *property tax*, not per-pupil ADA — enrollment decline does not cut the District's funding the way it would elsewhere. And it is fully irrelevant to GO debt service, which is levied on AV.

f. Call schedule

Authority: OS, "The Bonds — Redemption."

- **Optional redemption:** Series 2019A maturities **on/after 2038... i.e. those maturing on or after 2028** are callable **at the option of the District, on any date on/after 2027-08-01, at 100% of par (no premium)**, plus accrued interest. Maturities on/before 2027-08-01 are non-callable.
- Our bond (2038-08-01) **is** subject to this par call from 2027-08-01.
- **Economic read:** at the current discount price (98.82), the par call is *out of the money* — it would never be optimal for the District to call at 100 a bond trading below 100. Yield-to-call (5.10%) > yield-to-maturity (4.124%), so **yield-to-worst = yield-to-maturity = 4.124%**. The call is benign at today's price; it would only matter if the bond moved to a premium (rates fall well below 4%), in which case YTW would shift to the 2027 call. EMMA's reported YX of 4.122% is, in this discount case, the yield-to-maturity (the worst case), consistent with our independent computation.
- *Sinking fund:* the OS describes mandatory sinking-fund redemption for a separate **\$29.85M 2046 term bond** — not our 2038 serial maturity.

g. Trade tape + liquidity

Authority: EMMA RTRS trade tape for 357172ZT5 (*raw/trade_tape_357172ZT5.json*, 283 reported trades, 2019-05-16 → 2026-03-26).

- **Liquidity: adequate-to-good for a small school-GO maturity.** 98 distinct trade days over the bond's life; **16 distinct trade days in the trailing 12 months**; a **\$6.01M block has printed**; two-sided (customer buy + customer sell + inter-dealer) prints recur. Passes the liquidity gate comfortably for an HTM ladder position.
- **Price/yield trajectory:** traded ~101 (≈3.3% YX) through Oct 2025, then repriced down to **98.82 / ~4.12%** by late Feb–Mar 2026 as the curve backed up — a rate move, not a credit move (consistent with AAA spread stability; no material event in the continuing-disclosure stream).
- **Staleness flag (honest):** the most recent print is **2026-03-26** — roughly 3 months before cutoff. The "last px ~98.82" is that March print, **not a live two-sided quote**. Per our standing note, the IBKR muni feed is close-only; treat 98.82 as indicative. Re-confirm an executable level before adding. At 98.82 the YTM is 4.124% / TEY ~8.29%, which is the basis for the screen's ~8.2% tag and is fairly rich for a AAA CA GO of this duration (≈9.4-yr mod duration) — attractive entry if the level holds.

h. Risk register + verdict

Overlay screens (re-grounded against primary sources):

Screen	Tag	Adjudication
AB-1200	POSITIVE (Santa Clara)	VERIFIED — 5-yr clean certification history; healthy reserves.
AI insulation	99	VERIFIED and arguably understated — school-GO levy is off the state cap-gains channel, <i>and</i> the District is community-funded (operating revenue is local property tax too).
Tech-wealth AV second-order	(review)	Addressed (c): Prop-13 stickiness + 0.54% debt/AV + rate-elastic levy make this resilient; residual = a severe sustained Prop-8 wave. Monitor CRE softness (county roll growth at 13-yr low).
Fire	4% tail	Low. Suburban Sunnyvale/Cupertino built-out footprint; not a wildland-interface AV base. No action.
Flood	61% tail (REVIEW)	Acknowledged. For a GO secured by an unlimited ad-valorem levy on a \$75.8B+ diversified base, localized flood exposure to a fraction of parcels is not a debt-service threat — the levy is rate-elastic and the base is enormous. Anti-masking note: no flood carve-out or special-district masking observed. Monitor, do not block.
Earthquake (Ss 1.87)	moderate — Bay / San Andreas N / Hayward	Real physical hazard (Hayward fault proximity). Credit channel is the OS "destruction by earthquake → AV reduction → higher levy rate" path; with 0.54% debt/AV the rate cushion is vast. Bondholder loss would require simultaneous mass destruction <i>and</i> mass delinquency — remote for a AAA base. Do not confuse the seismic "1.87" with the debt "1.87%."
Top-taxpayer concentration	—	Does not fire. Largest taxpayer 2.32%; top-20 = 15.86%.
Taxable-muni gate	—	Clean. Confirmed tax-exempt (Orrick); not a federally-taxable harvest artifact.

What would change the verdict (disconfirming watch-list): - A County roll *decline* (not just slowing growth) driven by a Bay-Area CRE/tech repricing + a measurable Prop-8 appeal wave concentrated in FUHSD TRAs. - A slip from POSITIVE AB-1200 certification or a sharp reserve drawdown in future budgets (none in the current file). - Accelerating enrollment decline *combined with* loss of community-funded status (would take an extreme AV collapse — ~\$35M/yr cushion).

Verdict: BUY (hold/add on confirmed level). Highest-quality pledge type (unlimited ad-valorem GO + SB-222 lien), AAA/Aaa, community-funded Silicon Valley district, direct debt 0.54% of a ~\$75.8B+ diversified base with no taxpayer >2.3%, AB-1200 positive, adequate liquidity. The marketed "tech-wealth AV" is a genuine strength, not a hidden risk — and the honest second-order AI-crash channel (local AV erosion) is structurally muted by Prop-13 stickiness and an

enormous levy-rate cushion. The only caveats are operational, not directional: (1) the 98.82 print is ~3 months stale — re-confirm an executable level; (2) at ~8.3% TEY this is fairly rich, so it is an attractive add only if the level holds.

Documents (all absolute paths)

- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/DD_REPORT.md` (this report)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/official_statement.pdf` (EMMA OS, Series 2019A/B/C, issue EP379545)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/official_statement.txt` (extracted text)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/continuing_disclosure_lat` (FY2025-26 Adoption Budget, 2025-06-17 — AB-1200/reserves/ADA)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/continuing_disclosure_lat`
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/trade_tape_357172ZT5.json` (283 RTRS trades)
- `/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/357172ZT5/raw/emma_security_details_357` (EMMA Security/Details, ZT5)

Primary sources: MSRB EMMA (Security/Details, Official Statement, RTRS trade tape, continuing disclosure); Santa Clara County Assessor (2024-25 / 2025-26 roll-close). Bond analytics validated against EMMA reported yield to ± 0.002 . Cutoff 2026-06-20.